From the above definition it is observed that

i. Market may mean a Place; where buying and selling take place.

ii. Buyers and sellers come together for transactions.

iii. An organisation through which exchange of goods takes place.

iv. The act of buying and selling of goods (to satisfy human wants).

v. An area of operation of commercial demand for commodities.

13.02. Need for Market

i. To exchange (barter) goods and services.

ii. To adjust demand and supply by price mechanism.

iii. To improve the quality of life of the society.

iv. To introduce new modes of life.

v. To develop product by enhancing market segment.

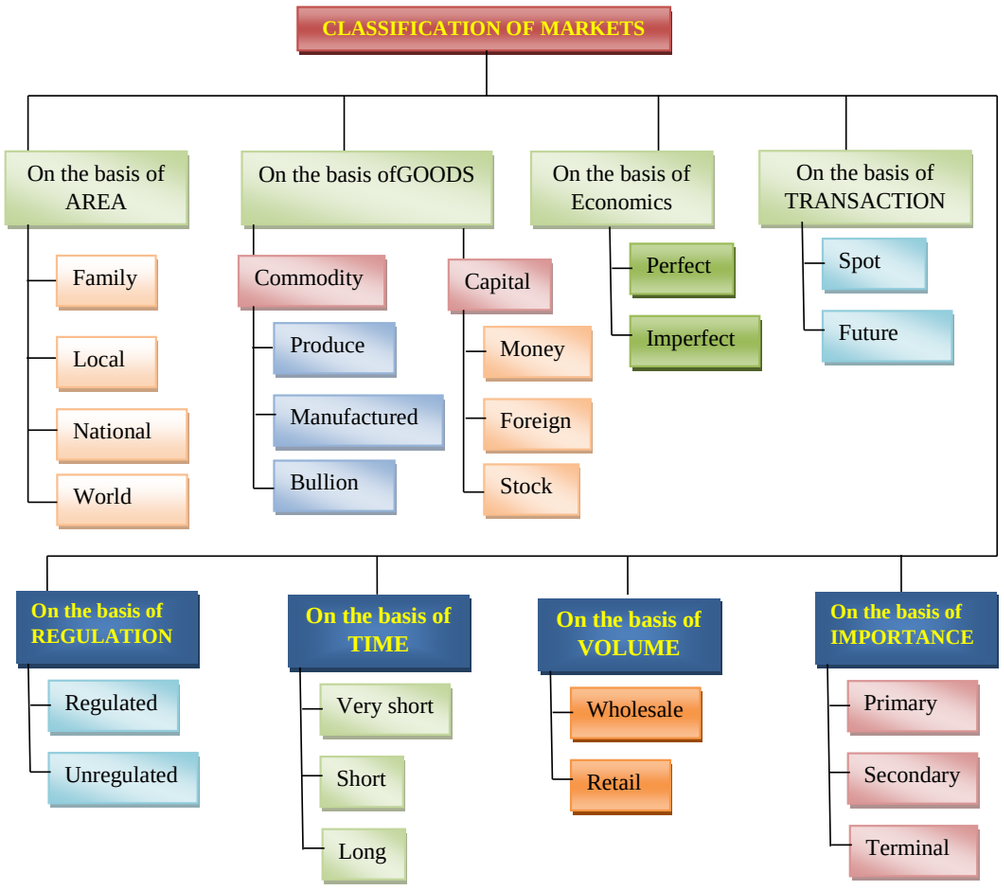
13.03. Classification of Markets

On the basis of different approaches markets have been classified on the basis of Area, Nature of Goods, and Economic view, Transaction, Regulation, Time, Volume and importance. The detailed classification is presented in the following chart.

I. On the Basis of Geographical Area

a. Family Market: When exchange of goods or services are confined within a family or close members of the family, such a market can be called as family market.

b. Local Market: Participation of both the buyers and sellers belonging to a local area or areas, may be a town or village, is called as local market. The demands are limited in this type of market. For example, perishable goods like fruits, fish, vegetables etc. But strictly speaking such markets are disappearing because of the efficient system of transportation and communication. Even, then, in many villages such markets exist even today.



12th Commerce Unit 5.indd 101 12/12/2020 2:16:29 PM